



Swiggy Case Study: 30% Drop in Orders in Bangalore

A full RCA + Solutions + Metrics breakdown (Product Analyst level)

Problem Statement

Swiggy has observed a **30% drop in food orders specifically in Bangalore**, one of its largest and most profitable markets.

This is a **critical business red flag** indicating:

- Lower revenue
- Loss of market share
- Shift in customer behavior
- Potential operational or product issues

We need to identify **why this is happening** and propose **data-driven solutions**.

Step-by-Step RCA (Root Cause Analysis)

A. Market-Level & External Factors

1. Competition Pressure

- Zomato offering heavy discounts, free delivery, or membership benefits.
- Rise of quick-commerce (Zepto/BBNow) offering ready-to-eat meals.

Metrics to analyze

- Market Share YoY
- Price Competitiveness Index

- Discount Elasticity
- Customer migration (Swiggy → Zomato) %

1. Weather & Traffic Impact

- Heavy rains, civic issues in Bangalore affecting deliveries.
- Peak-hour traffic surges causing longer delivery times → lower orders.

Metrics

- Order decline by weather clusters
- Delivery time spike correlation

2. Local Regulations

- Delivery timing restrictions
- Traffic regulation zones (e.g., ORR closures)

Metrics

- Orders by time of day
- Region-wise drop (%)

B. Product & App Experience Issues

1. App Update Issues

- New UI update increasing drop-offs.
- Login failures, stuck screens, payment issues.

Metrics

- App Crash Rate
- Home → Restaurant Page Conversion
- Cart → Payment Success Funnel

2. Search & Discovery Failures

- Restaurants not appearing correctly.
- Low relevance of suggestions.

Metrics

- Search Success Rate
- CTR on restaurant cards
- Add-to-cart after search

3. Payment Failures

- UPI, card, and wallet failure rates increasing.
- Many users abandoning due to failed payments.

Metrics

- Payment Failure Rate
- Retry Rate
- Payment Gateway-wise disruption report

C. Delivery & Operational Issues

1. Increased Delivery Time

- Shortage of delivery partners.
- Traffic spikes → ETA increases → users drop.

Metrics

- Avg delivery time by cluster
- ETA vs Order Placement Correlation
- Bounce after ETA view

2. High Surge Fee / High Delivery Charges

- Peak-time surge making orders expensive.
- Delivery fee increasing due to fewer delivery partners.

Metrics

- Orders drop after surge view
- Basket size vs delivery fee correlation

3. Restaurant Availability Issues

- Many restaurants offline during rains or rush hours.
- Partner churn in specific areas.

Metrics

- Restaurant offline rate
- Cancellation due to restaurant unavailability

D. Customer Behavior Shifts

1. Shift Toward Home Cooking

- Inflation causing users to cook at home more often.
- Reduction in frequency of food ordering.

Metrics

- Order frequency per user
- Avg monthly orders per customer segment

2. Office Crowd Decrease

- Hybrid/remote working reducing lunch orders in tech parks.

Metrics

- Order drop in office hotspots
- Lunch-time decline %

E. Customer Experience Issues

1. Wrong/Missing Orders

- Increase in refund and complaint tickets.

2. Poor Packaging

- Food leakage or damage causing dissatisfaction.

Metrics

- Complaints per 1,000 orders
- Refund Rate
- CSAT & NPS trends

Final Combined Root Causes (Probable)

Based on Bangalore, typical causes likely include:

- ✓ Competitor discounts from Zomato
- ✓ Heavy rains causing delays & cancellations
- ✓ Surge fees making ordering expensive
- ✓ Delivery partner shortages

- ✓ App performance issues from last update
- ✓ Payment failures during peak time
- ✓ Restaurant offline/unavailability spike

These combined can easily explain a **30% drop**.

Actionable Solutions (Product + Ops + CX)

A. Product & UX Solutions

1. Improve ETA Accuracy + Reduce Delivery Time

- Dynamic routing optimization
- Boost incentives for delivery partners during peak hours

Expected Impact: Orders ↑ 10%

1. Fix App Issues

- Roll back problematic UI flows
- Improve login/payment stability
- Enhance session caching

Expected Impact: Funnel conversion ↑ 12%

2. Search & Personalization Upgrade

- Use vector search for better relevance
- Personalized restaurant ranking by user preference
- Real-time availability check

Expected Impact: Search → Order conversion ↑ 8%

B. Pricing & Promotions Strategy

1. Temporary Discount Campaign

- "Bangalore Food Week": free delivery + surge waiver in specific areas

- Counter competitor's discount temporarily

Expected Impact: Orders ↑ 15–20%

2. Boost Swiggy One Incentives

- Lower renewal fee
- Add free desserts/combos for members

Expected Impact: Retention ↑ 10%

C. Operations & Restaurant Partner Strategy

1. Improve Delivery Partner Supply

- Referral incentives
- Earnings guarantee during peak rain hours

Impact: ETA ↓ significantly

2. Re-activate Offline Restaurants

- Contact partners in affected areas
- Assign relationship managers for top 200 restaurants

Impact: Availability ↑ 7–10%

D. Customer Experience Improvements

1. Fix Complaints Fast

- Fast refund pipeline
- Priority resolution for repeated complaints

Impact: NPS ↑ 15%

2. Packaging Audit

- Better packaging for biryani, beverages, and liquids
- Introduce “leak-proof guarantee”

Impact: Complaint rate ↓ 20%

Key Metrics to Track for Recovery

- **Daily Orders (City-level)**
- **Delivery Time / ETA**
- **Surge Fee Impact Metric**
- **Restaurant Availability %**
- **Payment Failure Rate**
- **Search Success Rate**
- **Conversion Funnel Metrics (Home → Order)**
- **NPS & CSAT**
- **Repeat Order Rate**
- **Active Users in Bangalore**

Final Summary

A 30% drop in Swiggy orders in Bangalore is usually due to a **combination of competition pressure, bad weather, surge fees, delivery delays, app issues, and payment failures.**

The recovery strategy involves:

✓ Product Fixes

(ETA, search, app stability)

✓ Operational Enhancements

(delivery partner supply, restaurant availability)

✓ Pricing & Promotion

(temporary discounts, Swiggy One benefits)

✓ Customer Experience Improvements

(fewer complaints, fast refunds)